CORPORATE LAWS & PRACTICES

Suggested Answers
March-April, 2024

Answer to the Question# 1(a) (i):

Interim Dividend should be declared by the Board of Directors not by the shareholders. Hence, a shareholders meeting cannot be called for declaring interim dividend.

Interim Dividend is a part of the Final Dividend, which is approved by the shareholders at Annual General Meeting. Interim Dividend is paid from the retained earnings of the company and is paid before the AGM. Final dividend is recommended by the Board of Directors and finally declared and approved by the shareholders in the AGM.

Resolution by Circulation is used for urgent issues required to be decided by the Board but declaration of Interim Dividend should not be made by way of a Resolution by Circulation.

Answer to the Question# 1(a) (ii):

Dividend should not be declared out of the Share Premium Account or the Capital Reserve Account or Revaluation Reserve Account or out of profit earned prior to the incorporation of the company.

Revaluation Reserve is neither profit of the business nor created out of such profit, and hence cannot be applied in the payment of Dividend. Profit earned prior to incorporation is one type of capital reserve and hence it should not be applied for distribution as dividend.

As the Interim dividend is a part of final dividend it cannot be paid out of revaluation reserve and capital reserve. Only, it can be paid from the profit retained by the company.

Answer to the Question# 1(b) (i):

Implication of Buyback of Shares:

As a result of the buy back, the ownership percentage of existing shareholders increases.

For example:

- if Investor B owned 10,000 shares before the buyback, their ownership percentage would have increased from 1% (10,000 shares out of 1 million) to 1.11% (10,000 shares out of 900,000).
- if Investor C owned 100,000 shares before the buyback, their ownership percentage would have increased from 10% (100,000 shares out of 1 million) to 11.11% (100,000 shares out of 900,000).

Answer to the Question# 1(b) (ii):

Circumstances when Bangladeshi companies can implement a buyback of shares:

A Bangladeshi company may buy back its own shares only by way of a court-approved reduction of capital. As per section 58 of the Companies Act 1994 following are the restrictions for purchase of its own shares:

1) No company limited by shares shall have power to buy its own shares or the shares of a public company of which it is a subsidiary company, unless the consequent reduction of capital is effected and sanctioned in the manner provided by sections 59 to 70.

2) No company limited by shares other than private company or a subsidiary company of a public company, shall give whether directly or indirectly, and whether by means of a loan guarantee the provision of security or otherwise any financial assistance for the purpose of or in connection with a purchase made or to be made by any person of any shares in the company.

   Provided that nothing in this section shall, where the lending of money is part of the ordinary business of a company, be taken to prohibit the lending of money by the company in the ordinary course of its business.

Answer to the Question# 1(c):

As the Company Secretary of the company, I would notice the issue to the Board. The board at its meeting should take the decision for transferring the shares of deceased chairman to his successor and appointment of the new chairman.

Along with the board resolution, death certificate and succession certificate, revised form XII- Particulars of the Directors, Manager and Managing Agents and of any change therein will be submitted to Registrar of Joint Stock Companies & Firms (RJSC).

RJSC with due verification will record the changes in form XII. Simultaneously, the company will update its Share Resister and Register for transfer of share. In the upcoming Schedule X will file the shareholding position with RJSC.

Initially the shares of the deceased person would be transmitted as per succession certificate and subsequently the wife and daughter will transfer their shares through the submission of form 117 with RJSC.

A new chairman in his place should be appointed and updated form XII shall be filed with RJSC and shares shall be transferred to his successor through filing Form 117 as well.

Answer to the Question# 1(d) (i):

From a Corporate Governance perspective, there are a few potential issues to consider regarding the decision of ABC Limited to withhold dividend payments to the non-resident shareholders due to the ongoing foreign currency crunch:

1) Fairness and Equal Treatment: Corporate Governance principles often emphasize the equal treatment of shareholders. Withholding dividend payments from non-resident shareholders while proceeding with payments to local shareholders may raise concerns about fairness and equal treatment. It is important to ensure that all shareholders are treated fairly and in accordance with their rights.
2) Shareholder Rights: Shareholders have a right to receive dividends when declared by the company. Withholding dividend payments may impact the expectations and rights of non-resident shareholders, potentially affecting their investment decisions and overall perception of the company.
3) Board Responsibility: The board of directors has a fiduciary duty to act in the best interests of the company and its shareholders. They should carefully consider the impact of their decisions on all shareholders and ensure that the decision aligns with the company's long-term interests and Corporate Governance principles.
4) Legal Compliance: It is important for ABC Limited to ensure that its decision to withhold dividend payments is in a compliance with applicable laws, regulations, and the company's articles of association.

Overall, it is crucial for ABC Limited to address these potential issues and ensure that the decision to withhold dividend payments from non-resident shareholders is made in a fair, transparent, and legally compliant manner, while considering the best interests of the company and its shareholders.

Answer to the Question# 1(d) (ii):

The best course of action for ABC Limited may consider based on the circumstances:

1) Fairness and Equal Treatment: ABC Limited should send payment instructions to the bank for both local and non-resident shareholders, completing all required formalities. It will be then the responsibility of the bank to make the payment when foreign currency becomes available.
2) The company should try to pay the dividend through the other banks including the foreign Banks.
3) Legal Compliance: ABC Limited should share the payment instructions and the bank's response with the relevant regulatory authorities to demonstrate that the company has taken appropriate steps, but the non-payment is due to the foreign exchange crisis.
4) Transparency and Disclosure: ABC Limited should provide clear and timely communication to non-resident shareholders, explaining the reasons for the non-payment of dividends and assuring them that the company has initiated the necessary steps. This will help maintain trust and confidence among shareholders and stakeholders.

Answer to the Question# 2(a) (i):

Yes, dividend can be paid on accumulated profit even the company incurred loss in the current year. [clause 98, of schedule I of the Companies Act, 1994]

Even though the company incurred loss of BDT 493,143 in the current year, it has accumulated profit of BDT 4,059,563 (including general reserve and dividend equalization reserve), as the Dividend is to be paid only out of profit.

Answer to the Question# 2(a) (ii):

As per the directive No. BSEC/CMRRCD/2009-193/08, dated 10 March 2021, the company has not complied with the requirement of holding the AGM.

The AGM should be held in hybrid form i.e. both in physical venue and web-link for joining the meeting or e-voting through online platform or digital platform. The voting system shall be through physical or paper ballot at the venue of the general meeting or through electronic ballot or any e-voting system using online platform or system or digital platform.

The company held the AGM only through virtual platform and the shareholders willing to attend physically could not exercise their voting right through physical or paper ballot at the venue of the meeting.

Answer to the Question# 2(a) (iii):

Yes, there would be a requirement of publishing Price Sensitive Information (PSI) for not approving dividend as per the clause 2(Ka) and for changing its name as per clause 3(Ja) of Schedule-Ka, Bangladesh Securities and Exchange Commission (Prohibition of Insider Trading) Rules, 2022.

As per the said clause of the rules, any information relating to dividend or corporate declaration shall be treated as PSI.

Since, recommendation of dividend by the Board has not been approved by the shareholders in the AGM, it is ultimately not been executed and it has impact on the financials of the company placed before the AGM.

The company within 2 hours of taking decision of not to pay dividend as proposed by the Board shall notify the Commission, Stock Exchanges duly signed by the Chairman, CEO or Company Secretary through email, fax, digital submission platform or by special messenger of through courier.

Further, it shall ensure the publication of the same in widely circulated two daily newspapers (one in Bangla and other in English) and in one online newspaper as well as publish in the website of the company.

Answer to the Question# 2(b) (i):

Bangladesh Securities and Exchange Commission has formulated a fund called "**Capital Markt Stabilization Fund**" and issued rules. These rules may be called the Bangladesh Securities and Exchange Commission (Capital Market Stabilization Fund) Rules,2021.

The Fund shall act as a custodian of cash or stock in favour of the investors as received by transferring unclaimed or undistributed or unsettled cash or stock dividend or non-refunded public subscription money or un-allotted rights shares from the issuer of listed securities.

Cash or stock as deposited in or transferred to the Fund shall be paid or settled on due claim by the shareholders or investors at any time in the indefinite perpetuity.

The Fund shall mainly be utilized to stabilize the capital/securities market ensuring liquidity to the market by way of buying and selling of listed securities, making investment in other securities, providing loan/support to market intermediary and market maker, lending and borrowing (SLB) of listed securities and settlement of investors' claim.

If any cash dividend/ non-refunded public subscription money remains unpaid or unclaimed or unsettled or un distributed for a period of 3 (three) years from the date of declaration or approval or record date, as the case may be, shall be transferred by the issuer to the bank account of the Fund within such time as directed by the Commission or the Fund from time to time:

Provided that the issuer shall provide detailed information (e.g., year of dividend, name of shareholder/securities holder, BO account number/folio number, permanent &contact address,

shareholding/securities holding, nominee (if any), amount of dividend, tax deducted at source, net amount of dividend, etc.) to the Fund during transfer of cash dividend:

Provided further that at least 30 (thirty) days prior to transferring such cash dividend to the Fund, the issuer shall communicate with the shareholders or securities holders or their nominee(s), if any, as well as shall notify the shareholders or securities holders mentioning their name, father's name, mother's name, permanent & contact address, nominee(s), if any, year of dividend, B.O. account/ Folio Number and amount of dividend about the cash dividend which will be transferred to the Fund by publishing such list in the official website of the issuer with proper notice (mentioning the web-address/link) in the two national dailies one in Bangla and other one in English.

Here, BDT 1,267,000 as dividend and BDT 800,000 as non-refunded public subscription money have remain unclaimed over 3 years, the company need to transfer the amount to the fund immediately. Otherwise, delay charge @2% shall be imposed on the amount.

If any shareholder or securities holder claims his cash dividend/ non-refunded subcription after transfer of such dividend/ subscription to the bank account of the Fund, within 15 (Fifteen) days of receiving such claim, the company shall, after proper verification of the claim, recommend with a detailed information as mentioned in the proviso of rule 9 (1) of these rules to the Chief of Operation of the Fund to pay off such dividend from the bank account of the Fund:

Provided that the Chief of Operation of the Fund shall, after due scrutiny with the data base/bank as created under sub-rule (5) of rule 9 of these rules as well as the aforesaid recommendation and approval of the Board or the Operation Management Committee for settlement of investors' claims as the case may be, pay off such cash dividend to the claimant through electronic fund transfer system within 15 (fifteen) working days of receiving of such recommendation with intimation to the concerned issuer.

Answer to the Question# 2(b) (ii):

As per the section 62, Finance Company Act, 2023, if any amount of deposit except the deposits of government, minor or court remain unclaimed up to 10 (ten) years from the due/maturity date, the company shall issue a notice to the registered address of the depositors for claiming the amount giving 03(three) months' time.

If the amount is not being claimed within the 3 months, the amount along with the interest shall be transferred to Bangladesh Bank. The amount transferred to Bangladesh Bank shall not attract any interest/profit thereon.

The company shall display the list at its website of amount transferred to Bangladesh Bank up to 01(one) year. Within 30(thirty) days of close of financial year, the company shall submit a list of unclaimed deposit to the Bangladesh Bank.

Bangladesh Bank shall publish a list of unclaimed deposits received from the finance companies.

The depositor or their nominee can claim the amount to Bangladesh Bank within 02(two) years from the date of amount received by the Bangladesh Bank.

With the expiry of the said 2 years no claim can be established and the amount shall be property of the government.

Answer to the Question# 3:

In this context, the Financial Reporting Authority (FRA) can play a significant role. As per the provisions of the Financial Reporting Act, the Standards Setting Division is responsible for overseeing financial reporting practices in Bangladesh. The Division can add value by devising and implementing standards that address the gaps in actuarial valuations. These standards would provide guidance among others on the selection of actuaries, the frequency of valuations, and other pertinent matters.

By establishing such standards, the FRA ensures consistency, transparency, and reliability in actuarial valuations across all companies operating in Bangladesh. This contributes to the overall credibility and accuracy of financial reporting in the country.

In this regard, as mentioned above, the Standards Setting Division's responsibilities include preparing proposals for the development and adoption of actuarial standards for valuation. Accordingly, the steps are as follows [Ref. Section 23(1) & (2) of Financial Reporting Act 2015]:

i) These proposals are presented to the Council for approval, in accordance with the provisions of the Financial Reporting Act.

ii) The Council, with prior approval from the Government, has the authority to determine the scope and procedure for the Standards Setting Division's responsibilities.

iii) This determination is made through the creation of regulations, which are communicated through official Gazette notifications.

Answer to the Question# 4(a b, & c):

Recommendation of the Board of Directors of ABC Company Limited for issuance of Right Shares is Price Sensitive information. If the management proposal is approved, the information must be disseminated to Bangladesh Securities and Exchange Commission and the Stock Exchanges within half an hour of taking the decision by the Board. Moreover, the information shall be published in at least in two national daily newspapers, one in Bengali and another in English. The same shall also be published in one online newspaper and be made available in the website of ABC Company Limited. Price Sensitive information shall include the followings:

- Ratio of Right Shares recommended. in the mentioned case it is 1:1;
- Date of the Extra-Ordinary General Meeting of the Company;
- Record date for the purpose of Extra-Ordinary General Meeting (complying with the regulations of BSEC); and
- Venue of the Extra-Ordinary General Meeting. However, the venue may be declared at a later date.

The Company needs to increase its Authorized Share Capital minimum up to such amount so that after issuance of the Right Shares total paid up capital of the Company remains below the increased Authorized Share Capital of the Company. Increase of Authorized Share Capital is also a Price Sensitive information and shall be disseminated to Bangladesh Securities and Exchange Commission and the Stock Exchanges accordingly.

Both increase of Authorized Share Capital and issuance of Right Shares in the ratio of 1:1 must be approved by the shareholders in the General Meeting of the Company. For this purpose, notice shall be served by the Company at least 21 days before the date of the General Meeting where the proposed resolution shall be mentioned.

For the purpose of increasing the Authorized Share Capital of the Company necessary changes need to be made in the capital clause of the Memorandum of Association and Articles of Association of the Company. As per provisions of The Financial Institutions Act, 1993 "No Objection" from Bangladesh Bank shall be taken to make the necessary changes in the Memorandum of Association and Articles of Association of the Company. After obtaining NOC from Bangladesh Bank, revised Memorandum of Association and Articles of Association of the Company shall be submitted to the Registrar of Joint Stock Companies for its approval and certified copy of the same shall be obtained.

For the purpose of issuance of the Right Shares the financial statements of the Company need to be audited by a firm of Chartered Accountants. The issuer Company must ensure that its CIB report is clean with Bangladesh Bank. If it is not updated that must be updated before submission of application to Bangladesh Securities and Exchange Commission.

Manager to the issue, Underwriter, Bankers to the issue shall be appointed. Application will be submitted to Bangladesh Securities and Exchange Commission along with the required documents as prescribed. The company needs to complete its credit rating by a credit rating company, since the offer is at a premium. The financial statements of the Company need to be audited for that period based on which the right offer will be exercised.

After approval of the Right Issue by Bangladesh Securities and Exchange Commission the information shall be disclosed as Price Sensitive Information and another Record Date shall be fixed for the purpose of entitlement of the right shares.

Subscription opening date & closing date shall be declared and subscription shall be collected accordingly. All post subscription issues/matters including complain of the shareholders, if any, shall be addressed as per regulations of BSEC.

Periodic reports relating to the Right Issue shall be submitted to BSEC. Share allotment will be uploaded in the CDBL database. Return of Allotment will be submitted to RJSC and certified copy of the same to be obtained.

Answer to the Question# 5(a):

Two or more persons shall be deemed to be a group if one person has the ability, directly or indirectly, to control the other person(s) or to exercise significant influence over the financial and operating decisions of the other person(s), or if both persons are subject to common control or common significant influence.

When at least one of the following criteria is satisfied, connectedness is established:

(a) The criterion for control is met automatically if one person holds more than 50% of ownership or voting rights of another person. Moreover, the criterion is met based on control through significant influence when the percentage of ownership or voting rights falls between 20% to 50%; or

(b) The percentage of ownership and voting rights is less than 20%, but at least one of the criteria specified below is satisfied:

1) Ability to appoint or dismiss an entity's administrative, management or supervisory body, such as the ability to appoint or remove a majority of members in those bodies, or the capacity to appoint a majority of members solely as a result of the exercise of an individual entity's voting rights;

2) Ability to exert a dominant influence on management, e.g. one person has the power, pursuant to a contract or otherwise, to exercise a controlling influence over the management of another person (e.g. through consent rights over key decisions);

3) Participation in policy-making processes that enables to direct the activities of the other so as to obtain benefits from its activities, e.g. including participation in decisions about dividends or other distributions as well as to decide on crucial transactions such as the transfer of profit or loss of the other;

4) Commonality of management or interchange of managerial personnel, e.g. single MD/CEO serving different entities collectively or interchangeably;

5) Commonality of ownership or interchange of ownership status, e.g. same person representing as Chairman or Director of Board (other than independent director) of different companies.

Since, the percentage of ownership or voting rights falls between 20% to 50% and the board of the XYZ Finance Ltd. is represented by 4 board members, the bank has the participation on policy making process, XYZ Finance Ltd. should be consider as under the group of ABC Bank Limited.

Answer to the Question# 5(b) (i):

Connectedness on the basis of Economic Interdependence: Economic dependence of one party on another or other parties results in all of them being considered connected. That is, if one of them were to experience financial problems, in particular funding or repayment difficulties, the other or all of the others would, as a result, also be likely to encounter funding or repayment difficulties. Connectedness based on economic interdependence will be established when at least one of the criteria specified below is satisfied:

a) At least 50 percent of one counterparty's gross receipts or gross expenditures (on an annual basis) is derived from transactions with one single counterparty or 50% of one counterparty's production/output is sold to one single counterparty;

b) One counterparty has fully or partly guaranteed the exposure of the other counterparty, or is liable by other means, and the exposure is so significant for the guarantor that it is likely to default if a claim occurs;

(c) The expected source of repayment for each loan is the same and neither counterparty has another source of income from which the loan may be fully repaid;

(d) It is likely that the financial problems of one counterparty would cause difficulties for the other counterparties in terms of full and timely repayment of liabilities;

(e) The insolvency or default of one of them is likely to be associated with the insolvency or default of the other(s);

(f) Significant association or relationship exists among counterparties, e.g. sharing of common facilities and/or branding platform;

(g) One counterparty enjoys inner credit limit/combined credit limit along with other counterparty(s);

Yes, as revenue of both parties are derived from the common government project and one party has guaranteed the others, the parties will be treated as group from banks' point of view.

Answer to the Question# 5(b) (ii) (1, 2 & 3):

Exposure	ABC Constructions Ltd	XYZ Construction Ltd	Total
Loan against yellow equipment	70,000,000	90,000,000	
Bill purchased	100,000,000	150,000,000	
Bank guarantee	30,000,000	50,000,000	
Total exposure	**200,000,000**	**290,000,000**	
Funded exposure	170,000,000	240,000,000	410,000,000
Proposed funded exposure	500,000,000		
Total Funded exposure including the proposed one	**670,000,000**	**240,000,000**	**910,000,000**
Non-funded exposure	30,000,000	50,000,000	80,000,000
	15%	25%	
Capital	750,000,000	1,250,000,000	

Bank can grant funded and non-funded loan to a single group up to 15% and 25% of its capital, respectively.

Although such limit does not exceed with the existing exposure of individual and combined, but with the proposed one such limit exceeds 15% threshold of the capital. Hence, the bank cannot grant the proposed loan to ABC Constructions Ltd.

Answer to the Question# 6(a):

According to Section 44(9) of the Insurance Act, 2010, no insurer shall grant to any employee any loan or temporary advance except-

a) loans on life policies issued by him to the employee within their surrender value

b) loans on mortgage of immovable property provided-

i) the authority certified that the insurer, if he transacts life insurance business, has complied with the provisions of this section;
ii) the value of the property is at least twice the amount of the loan;
iii) the property is situated in such town as may be notified in this behalf;
iv) the loan is made in such installments as may be decided by the Board of directors of the insurer, if the purpose of the loan is to construct a house;
iv) the loan is repayable within a period of fifteen years; or
v) the loan is of such amount that the installment of capital and interest does not exceed one-fourth of the basic salary of the employee during a year;

c) Loans for the purchase of a conveyance to an employee provided-

i) the employee has served the insurer continuously for such period as may be decided by the board of Directors of insurer;
ii) the conveyance purchased is mortgaged to insurer;
iii) the loan amount fixed is subject to such conditions including the time allowed for its repayment as may be decided by the Board of Directors of the insurer:

Provided that the total loan regarding non-life insurance referred to in sub-clause (b) (iv) and (c) shall not exceed ten percent of the net-profit after payment of income tax of the preceding year of the insurer.

Provided further that the above 10 percent shall not be more than 20 percent of paid-up capital of the insurer.

d) In case of temporary advance to an employee an equal amount of salary not more than four months. Provided that in respect of the life insurance business of an insurer, the total temporary advances referred to in this clause shall not exceed the amount prescribed in percentage rate and in other cases also shall not exceed the amount fixed.

Answer to the Question# 6(b):

Surrender value under life insurance policy is the amount the policyholder will get from the life insurance company if he decides to exit the policy before maturity.

In this case, the surrender value would be calculated based on various factors such as the premiums paid, policy duration, and the policy's cash value. Mr. B has paid a total of Tk. 200,000 in premiums over the 10-year period, he is eligible for a cash value @ 75% of the total premium paid subject a surrender charge 10% of the cash value.

Therefore, the surrender value shall be Cash value less Surrender charge:

Where, Cash value is: Tk. 200,000 x 75% = 150,000

Surrender charge is: 10% of Tk. 150,000 = 15,000,

And Surrender value is therefore: Tk. 150,000 – 15,000 = Tk. 135,000

Answer to the Question# 7(a) (i):

The workers claim that establishing a provident fund is mandatory under Bangladesh Labour Act 2006 is incorrect.

Answer to the Question# 7(a) (ii):

As per section 264(10) of the Bangladesh Labour Act 2006, ABC shall be obligated to constitute a provident fund for the benefit of its workers, if three-fourths of the total number of workers employed in it so demand to the employer by an application in writing.

Answer to the Question# 7(a) (iii):

As per section 264(9) of the Bangladesh Labour Act 2006, every permanent worker shall, after the completion of his one year of service in the establishment constituting the provident fund, subscribe to the fund, every month, a sum, unless otherwise mutually agreed, not more than eight per cent of his monthly basic wages and the employer shall contribute to it an equal amount. So, in this case if the employees and workers are mutually agreed to maintain a 10% subscription rate, they can go ahead with it.

Answer to the Question# 7(b):

Since Mr. Abdul Zabbar is aged 24 years and joined the company for more than a year, he will be entitled to leave as follows as per the labor law:

Leave	Entitled	Availed	Remarks
Casual leave	10 days in a year [sec 115]	8 days	Will not be carried forwarded
Sick leave	14 days in a year [sec 116]	15 days	Excess 1 day leave will be adjusted with other leave
Compensation for week holidays	3 days leave [sec 104]		Shall avail the leave
Annual leave	1 days for every 18 days work [sec 117]		Will be entitled in 2022

In the above circumstances, none of the leave will be carried forwarded in 2024. It is not clearly mentioned in law that whether the excess sick leave can be adjusted with the compensation for week holidays.

Since, he has just completed one calendar year on 31 December 2021, he will be entitled to the annual leave in 2024.

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